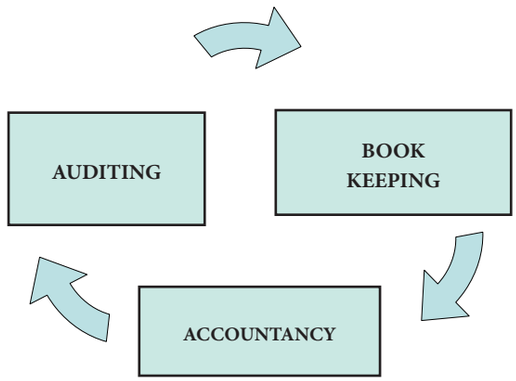
1.5 Book-Keeping, Accountancy and Auditing

Book-Keeping is the art of recording the business transactions in the books of original entry. It involves the process of recording all the transactions, journalising, posting to the relevant ledger accounts and balancing.

Accountancy involves the process of recording, classifying, summarising and interpreting all the financial transactions that take place during a particular period in a concern. It is the work of an accountant in maintaining financial books, checking of numerical accuracy of the books of accounts, preparation of trial balance, trading account, profit and loss account and balance sheet. Hence, it is commonly said *"**Accountancy begins where Book-keeping ends**"*.

Auditing involves a detailed and critical examination and verification of accounts by an independent and qualified person to ascertain the true and fair view of the financial position of the concern. For example after verification the auditor has to submit a report to the management that the financial statement represents a true and fair view of the statement of affairs of the business. Hence, it is said *"**Auditing begins where Accountancy ends**"*.



1.6 Difference Between Accountancy and Auditing

Basis	Accountancy	Auditing
1. Meaning	It is the process of recording, classifying, summarising and interpreting all the financial transactions.	It is the process of examining books of accounts and reporting on the financial statements.
2. Objectives	Its main objective is to find out profit earned or loss suffered by a company and to show the financial position of the company for a particular period.	Its main objective is to examine the correctness of the accounts and financial statements and certify that whether the company exhibits a true and fair view of state of affairs of the concern.
3. Nature of Employment	An accountant is a permanent employee of the organisation.	An auditor is an independent person and is not an employee of the organisation.
4. Qualification	He should have the knowledge of double entry system of book -keeping and principles and concepts of accounting.	An auditor should be a qualified chartered accountant certified by the Institute of Chartered Accountants of India for auditing joint stock companies.

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